

BLACK KNIGHT, INC.
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS - (Continued)

(18) Employee Stock Purchase Plan and 401(k) Plan

Employee Stock Purchase Plan ("ESPP")

Effective July 20, 2015, we adopted the Black Knight Financial Services, Inc. Employee Stock Purchase Plan (the "BKFS ESPP") that allows our eligible employees to voluntarily make after-tax contributions ranging from 3% to 15% of eligible earnings. We contribute varying matching amounts as specified in the BKFS ESPP document. On September 29, 2017, our Board of Directors approved, and BKI assumed the BKFS ESPP and renamed it the Black Knight, Inc. Employee Stock Purchase Plan (the "Black Knight ESPP"), which was amended and restated as of December 5, 2019. Effective January 1, 2020, a one-year holding period was implemented for contributions to the Black Knight ESPP. During the holding period, ESPP purchased shares are not eligible for sale or broker transfer. The other terms of the Black Knight ESPP, as amended, are substantially similar to the terms of the BKFS ESPP.

We recorded expense of \$8.0 million, \$7.8 million and \$6.0 million for the years ended December 31, 2019, 2018 and 2017, respectively, relating to the participation of our employees in the Black Knight ESPP and BKFS ESPP.

401(k) Profit Sharing Plan

Prior to the Distribution, our employees participated in a qualified 401(k) plan sponsored by FNF. Under the terms of the plan and subsequent amendments, eligible employees may contribute up to 40% of their pretax annual compensation, up to the amount allowed pursuant to the Internal Revenue Code ("IRC"). We generally match 37.5% of each dollar of employee contribution up to 6% of the employee's total eligible compensation. As a result of the Distribution, our employees no longer participate in this plan sponsored by FNF. Our indirect subsidiary, BKIS, adopted and established the Black Knight 401(k) Profit Sharing Plan (the "Black Knight 401(k) Plan"), effective September 29, 2017. The terms of the Black Knight 401(k) Plan are consistent with the terms of the 401(k) plan sponsored by FNF.

We recorded expense of \$6.5 million, \$6.3 million and \$5.8 million for the years ended December 31, 2019, 2018 and 2017, respectively, relating to the participation of our employees in the 401(k) plans.

(19) Income Taxes

Income tax expense (benefit) consists of the following (in millions):

	Year ended December 31,		
	2019	2018	2017
Current:			
Federal	\$ 39.5	\$ 35.0	\$ 10.4
State	9.7	9.4	5.3
Foreign	0.9	0.8	0.9
Total current	50.1	45.2	16.6
Deferred:			
Federal	(0.2)	(2.3)	(87.5)
State	(8.0)	(5.2)	9.1
Total deferred	(8.2)	(7.5)	(78.4)
Total income tax expense (benefit)	\$ 41.9	\$ 37.7	\$ (61.8)

On December 22, 2017, the Tax Reform Act was signed into law. Among other provisions, the Tax Reform Act reduced the federal statutory corporate income tax rate from 35% to 21%. During the fourth quarter of 2017, we recorded a one-time, non-cash net tax benefit of \$110.9 million related to the revaluation of our deferred income tax assets and liabilities as a result of the Tax Reform Act.

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A reconciliation of our federal statutory income tax rate to our effective income tax rate is as follows:

	Year ended December 31,		
	2019	2018	2017
Federal statutory rate	21.0%	21.0%	35.0 %
State income taxes, net of federal benefit	4.1	5.0	2.9
Noncontrolling interests	—	—	(13.7)
Tax credits	(2.3)	(1.8)	(0.6)
Transaction costs	—	—	1.4
Domestic production activities deduction	—	—	(0.5)
Effect of Tax Reform Act	—	—	(57.6)
Restricted share vesting	(1.1)	(1.0)	(0.5)
Effect of deferred revaluation related to lower blended state tax rate	(3.3)	(2.0)	—
Prior year return to provision adjustments	(0.9)	(2.8)	—
Other	1.1	(0.1)	1.5
Effective tax rate	18.6%	18.3%	(32.1)%

Black Knight is treated as a corporation under applicable federal and state income tax laws. Following the Distribution and THL Interest Exchange, we no longer have any noncontrolling interests and indirectly own 100% of BKFS LLC. To reflect the 100% indirect ownership, we recorded a non-cash transaction resulting in an increase of \$292.5 million to Deferred income taxes with an offset to Additional paid-in capital on the Consolidated Balance Sheets to reflect the difference in the tax and financial reporting basis of our assets and liabilities. Deferred tax assets and liabilities are recognized for temporary differences between the financial reporting basis and the tax basis of the corporate subsidiaries' assets and liabilities and expected benefits of utilizing net operating loss carryforwards.

As of December 31, 2019 and 2018, the components of deferred tax assets primarily relate to equity method investments, equity-based compensation, deferred revenues, interest rate swaps, employee benefits accruals and deferred compensation. As of December 31, 2019 and 2018, the components of deferred tax liabilities primarily relate to depreciation and amortization of intangible assets, property and equipment and deferred contract costs.

The significant components of deferred tax assets and liabilities consist of the following (in millions):

	December 31,	
	2019	2018
Deferred tax assets:		
Equity method investments	\$ 25.7	\$ —
Equity-based compensation	12.6	9.2
Deferred revenues	6.2	14.8
Interest rate swaps	5.6	—
Other	13.0	11.4
Total deferred tax assets	63.1	35.4
Deferred tax liabilities:		
Goodwill and other intangibles	(168.7)	(178.9)
Deferred contract costs	(40.3)	(41.9)
Property, equipment and computer software	(34.3)	(28.0)
Other	(5.1)	(7.5)
Total deferred tax liabilities	(248.4)	(256.3)
Net deferred tax liability	\$ (185.3)	\$ (220.9)

ASC Topic 740-10, *Accounting for Uncertain Tax Positions*, requires that a tax position be recognized or derecognized based on a more likely than not threshold. This applies to positions taken or expected to be taken on a tax return. In 2017, as a result of